

Candidate predictor

Q_t
Spot-derived

$$R^2 = 0.003$$

DROP

$$R^2 = 0.035$$

RETAIN

R_t
Realised

Own history
(persistence)

$$R^2 = 0.034$$

RETAIN

I_t
Implied

$$R^2 = 0.171$$

RETAIN

Own history
(persistence)

R_t
Realised variance

I_t
Implied variance

Target state

